assumption that I could earn at least 10 percent a year. So, effectively, my plan was to live on one-third of all income.

When did you go from being a long-only investor to incorporating shorting as a key component of your investment strategy?

In 1986, I became concerned that the market was overpriced. I like risk. I like the excitement of being in the market. I knew I didn't have the discipline to stay out of the market, and I felt that stocks were too expensive, so I started shorting.

When in 1986?

In early 1986.

So you started shorting almost a year and a half too early. [The market didn't peak until August 1987.]

Yes, and a lot of times before the market cracks, the lower-quality stocks zoom. I remember being on the tennis courts with my friends in the summer of 1987 [he begins a tremulous laugh that betrays an undertone of pain], and I was losing so much money that I had to call my mother to get a loan to meet the margin call. She was the only one I could call. There is no way my dad would have loaned me the money.

Did you stay short all the way through until the crash?

I did.

So even though the market kept moving against you, you just . . .

I just hung in there.

You never second-guessed yourself?

Sure I did. In fact, when I was playing tennis that day, I told my buddies that I was a failure, and that I was going to lose all my money.

You were short during the crash of October 19, 1987. What stands out in your memory about that day?

As the market was crashing, I thought I could start putting on some longs to reduce my net short position. The trade I remember most is putting in an order to buy Mead Paper at 32, and I got a fill at 27—the market was collapsing that quickly.